HEDGEYE DAILY DIGEST

Friday, July 31, 2026 · Reader TZ: GMT+8

> *Hedgeye's model is leaning hard into **#Quad3 stagflation** as an energy-driven reflation stalls the disinflation trend and the high-beta “Bag 7” momentum unwind deepens. Keith McCullough is long energy (**XLE, CRAK, CERY**) and staying short **QQQ / XLK** and tech-momentum, while global bond yields hold bullish TREND. The August **Quad 3** probability has jumped to **50%** and the odds of inflation re-accelerating to **91%** — the signal, not the narrative, is doing the driving.*

Today’s Publications

New since the last GMT+8 session — the Thursday-afternoon (EDT) batch that landed overnight in Asia.

SIGNAL STRENGTH STOCKS — 66 Stocks (2 Added, 4 Removed)

Signal Strength Stocks · 07/30/26 03:57 PM EDT

Hedgeye’s Signal Strength screen — the roster of names carrying a positive quantitative signal — shrank to **66 stocks**, with **2 added** and **4 removed**. The additions were **CHWY** (Chewy) and **RTX** (RTX / defense-aerospace); the removals were **ADDYY** (Adidas), **RH** (RH), **WM** (Waste Management) and **XYL** (Xylem).

The mix rhymes with the day’s macro message: new signal strength is showing up in defensive and quality-industrial names (RTX defense, CHWY consumer staple), while rate- and cycle-sensitive names — a homebuilding-adjacent RH, waste hauler WM, water-infrastructure XYL — dropped out. This is a screen, not a model portfolio, so it should be read alongside the ETF Pro and Capital Allocation changes rather than traded in isolation.

ETF PRO PLUS — 7 New Changes

ETF Pro Plus · 07/30/26 03:14 PM EDT

Seven real-time changes reinforced the reflation / #Quad3 tilt. **Adding Long: UUP** (U.S. Dollar Bullish), **BBRE** (U.S. REITs) and **UGA** (Gasoline Futures). **Adding Short: AIQ** (AI Technology) and **LIT** (Lithium Tech).

Removing Long: XLU (Utilities, range 44.99–46.91). **Removing Short: INDA** (India, range 47.16–49.74). The new longs (dollar, gasoline, REITs) express the energy-reflation and strong-dollar view, while the new shorts (AI Technology, Lithium) extend the tech-momentum unwind — the same book Keith is running through XLK/QQQ.

CAPITAL ALLOCATION PRO — Model Portfolio Changes | Effective 7/30/2026

Capital Allocation Pro (HAM) · 07/30/26 02:48 PM EDT

The Capital Allocation team pushed a fresh set of Model Portfolio changes, effective at **Thursday, July 30** closing prices. The published note reiterates the team’s “pull vs. push” philosophy — daily content sits on the dashboard, and an emailed alert means “signal, not noise.” Trend and Tail levels for the **68 ETFs** in the universe were refreshed on the standard 3–4 week cycle, and a July Key Callouts video is forthcoming.

This is the actionable portfolio-construction layer that sits above the ETF Pro and Signal Strength lists; the specific position-by-position sizing lives behind the CAP dashboard. A companion **Daily Dashboard | Model Portfolios** update was also posted earlier in the session (09:23 AM EDT).

Yesterday’s Publications

The Thursday-morning (EDT) flagship batch — delivered Thursday evening in GMT+8.

EARLY LOOK — “You Think You Just Fell Out of a Coconut Tree?”

Early Look, by Drago Malesevic, CFA · 07/30/26 07:25 AM EDT

Quad positioning: Global #Quad3 Stagflation remains the GIP model’s base case for 2H 2026.

What: Using the Strait of Hormuz as its lens, the note argues today’s energy-driven reflation is no accident — Iran’s asymmetric leverage over a chokepoint carrying a fifth of seaborne oil and LNG is repricing global energy faster than conventional risk models assumed. The disinflation trend is being overwhelmed by that energy shock.

Key numbers: The July inflation nowcast is running **+3.48%**, just **5 bps** of sequential deceleration versus the **24 bps** of disinflation modeled at the start of the month — almost the entire gap traced to **energy**. The probability of an August monthly **Quad 3** print has risen **30%** → **50%**, and the probability of inflation accelerating has jumped **55%** → **91%**.

Why / signal confirmation: Energy and consumer staples were the only two sectors up in the prior session — exactly the Quad 3 tell. Keith has gone long **XLE**, **CRAK** and **CERY** over the past two sessions because the signal green-lit it, not on an Iran view. Bond yields holding bullish TREND from Japan to the U.S. corroborate the inflation call.

Takeaway: Hold the informed prior, but let real-time signals set positioning — “conviction and attachment are not the same thing.” Stay long energy/reflation and bullish yields; avoid falling in love with a narrative the tape hasn’t confirmed.

Risk Range™ Signals

Asset	Risk Range™	TREND
UST 10Y Yield	4.58 – 4.75	Bullish
High Yield (HYG)	78.90 – 79.70	Bearish
Inv. Grade Corp (LQD)	105.5 – 107.3	Bearish
S&P 500 (SPX)	7,276 – 7,462	Bullish
NASDAQ Comp (COMPQ)	24,258 – 25,570	Bearish
Russell 2000 (RUT)	2,887 – 2,978	Bullish
Tech (XLK)	163 – 177	Bearish
Health Care (XLV)	160 – 168	Bullish
Utilities (XLU)	44.07 – 46.28	Bullish
Real Estate (XLRE)	44.97 – 46.50	Bullish
Volatility (VIX)	16.65 – 21.50	Bullish
U.S. Dollar (USD)	100.52 – 101.60	Bullish
WTI Crude Oil	79.26 – 92.96	Bullish
Natural Gas	2.55 – 2.95	Bearish
Gold (spot)	3,980 – 4,136	Bearish
Copper (spot)	6.14 – 6.55	Bullish
Silver (spot)	55 – 60	Bearish

KM'S TOP 3 THINGS — Rates / QQQ / Factors

From The Desk, Keith McCullough · 07/30/26 07:18 AM EDT

What: Keith's three morning calls — Rates, QQQ and Factors — with the framing that "Macro Tourists are getting smoked."

Rates: The move in **oil** mattered more to the bond market than anything Fed nominee Warsh said; yields globally still signal **bullish TREND**, keeping **Global #Quad3 stagflation** the 2H 2026 forecast, with U.S. inflation expected to re-accelerate in **August** (reported September, just before the Fed meeting). **QQQ:** The Bag 7 / high-beta tech wreck showed downside **exhaustion signals**, but with **NazVol at 31** the process is "not yet" calling the bottom — still short **XLK, PTF, MEME, IVES**. **Factors:** High Beta Momentum fell another **-6.7%** to **-33%** in a month; the retail-investor factor dropped **-4.2%** to **-8.6% YTD**.

Key levels: SP500 Risk Range **7,276–7,462**; UST 10Y Yield **4.58–4.75%**. **Takeaway:** Lean into net long/short factor and sector positioning rather than pretending to be "factor neutral" into a momentum crash.

MOMO TRACKER — Mag7 (-1.4%), MSFT = NEUTRAL

Momentum Stock Tracker, C. Drake & R. Ricci · 07/30/26 08:10 AM EDT

What: The daily momentum dashboard for the Mag7 and major equities. **Key numbers:** The **Mag7 fell -1.4%**, **MSFT** signal shifted to **NEUTRAL**, and the aggregate Risk Range skew sat at **+11% upside / -2% downside**. High Beta Momentum has now turned **negative YTD**.

Takeaway: The header says it plainly — "Tech Wreck Reaching Exhaustion." The downside is getting stretched and the risk-range asymmetry now favors upside, but a favorable skew is a set-up, not yet a signal to cover the tech-momentum shorts.

CRYPTO QUANT — BTC (+1.8%)

Bitcoin Trend Tracker, Drake / Steiner / Cooper · 07/30/26 08:02 AM EDT

What: The crypto quant dashboard. **BTC rose +1.8%** overnight, but the flow and positioning backdrop stayed soft: U.S. ETF flows were a **"yawn," put buying resumed**, and **47% of supply is underwater** (held below cost basis).

Takeaway: A modest bounce without flow confirmation — muted institutional demand plus renewed downside hedging keeps the tone cautious even on an up day for BTC.

THE MACRO SHOW — Summary Notes | Thursday, July 30

The Macro Show, PMs Sam Rahman & R. Patrick Kent · 07/30/26 10:22 AM EDT

Rates & oil led: Patrick called the **oil** move more important to bonds than Warsh; **Brent/WTI** is back to bullish trend. The reaction was a **~13 bp** move in the 30Y and a **~12 bp** widening of 2s/10s, keeping **Global Quad 3 stagflation** the base case as yields hold bullish trend from Japan to the U.S.

Momentum / Bag 7: One of the fastest drawdowns since the Covid crash and the 2001 bubble — framed as both fundamental and **mechanical** (leveraged-ETF and South Korea de-grossing into month-end). Hedgeye stays short **XLK, PTF, MEME, IVES** even with exhaustion signals showing and **NazVol at 31**.

Memory / AI CapEx: Memory prices are up **700–800%** but should slow sharply by **2027** as supply (Samsung, Micron, China) arrives; the debate over whether hyperscaler CapEx can grow another **20%** in 2027 remains open. **Mortgage rates** ticked back toward **6.70%**. Dollar liquidity is a **"yellow flag,"** and VIX stays in the **16.7–21.5** chop bucket.

Positioning — Bullish: Oil/Brent/WTI, U.S. & global bond yields, USD, Staples (XLP), Value (FAB), Commodities (CERY), Quality Compounders (NOBL). **Bearish:** QQQ, XLK, PTF, MEME, IVES, High Beta Momentum, Bag 7, Quantum, non-profitable tech, retail favorites, memory/DRAM.